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State Bank of India (SBI.BO)

Reacceleration On All Fronts (NIM, Fee, Opex Lever, Growth) Powers Earnings Upgrade

CITI'S TAKE

Domestic NIMs rebounded 7bps QoQ to 3.00% (global: 2.86%), as easing CoDs and improving yields vindicated management's 3% NIM target. Earnings beat expectations, rising 10% YoY / 7% QoQ, underpinned by ~14% YoY (6% QoQ) NII growth, Rs43.2bn treasury gains, and contained opex (+5% YoY / -14% QoQ). Slippages edged up seasonally to Rs70.5bn (0.6%), with Rs14.5–15.0bn pulled back. Credit costs of 41bps marginally above estimates, reflecting deliberate front-loading of PLI provisions. Advances re-accelerated to 19% YoY (~2.3% QoQ), driven by retail/SME/Agri, with corporate flat QoQ. Management targets US\$10bn FCNR(B) deposits with negligible NIM impact, reiterating 3% domestic NIM and 14–15% credit growth guidance for FY27. Factoring in an improved revenue profile and cost efficiency, we upgrade FY27E/FY28E earnings by 3–4% (initiating FY29E), raising TP to Rs1,300 (1.5x Sep'27 book) given better earnings profile. Maintain Buy.

NIMs Back To Guided Range; CoDs Decline, Yields Improve — Domestic NIMs recovered to 3.00% (vs. 2.93% QoQ), with global NIMs at 2.86% (vs. 2.81% in 4Q). Domestic yields improved marginally to 8.20% (vs. 8.17% in 4Q) driven by growth in retail/SME/agri and as the bank reset pricing upwards in many segments. CoDs fell to 4.85% (vs. 4.95% in 4Q) given debulking of deposits and stable CASA ratio. Benefit of interest on IT refund was limited to Rs2.2bn (vs. Rs11bn in 4Q). Core NIMs improved more than 10bps. Mgmt. reiterated 3% domestic NIM guidance for FY27. We expect NIM trajectory to of 2.9–3.0% over FY27–29E.

FCNR(B) Deposits: Targets more than US\$10bn; No Material NIM Impact — SBI has mobilized FCNR(B) deposits of US\$6bn, OFCB of US\$1bn, and ECBs of US\$0.3bn till date and target to raise more than US\$10bn. Mgmt. clarified inflows will be more spread-out (unlike 2013) given better clarity on leverage terms and active demand-driven outreach. Excess SLR stood at Rs3.06tn as of June 2026, with FCNR inflows taking it to nearly Rs4tn. Foreign offices are strategically reducing trade finance, redirecting capacity towards FCNR-funded lending, which should support international NIM. Non-leveraged inflows will reduce dependence on wholesale deposits and structurally lower cost of funds. NIM impact of FCNR(B) is not expected to be material.

Earnings Summary

Year to	Net Profit	Diluted EPS	EPS growth	P/E	P/B	ROE	Yield
31 Mar	(RsM)	(Rs)	(%)	(x)	(x)	(%)	(%)
2025A	709,014	79.44	16.1	13.8	2.2	17.3	1.5
2026A	800,326	88.16	11.0	12.4	1.9	16.2	1.6
2027E	860,698	93.24	5.8	11.8	1.6	14.9	1.7
2028E	959,056	103.90	11.4	10.5	1.5	14.7	1.9
2029E	1,107,031	119.93	15.4	9.1	1.3	15.1	2.2

Source: Powered by dataCentral

Buy

Price (07 Aug 26 15:30)	Rs1,096.05
Target price	Rs1,300.00↑
	from Rs1,230.00
Expected share price return	18.6%
Expected dividend yield	1.4%
Expected total return	20.0%
Market Cap	Rs10,117,218M
	US\$106,318M

Price Performance (RIC: SBI.BO, BB: SBIN IN)


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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

Slippages Up Seasonally; Credit Cost Guidance Intact

GNPA ratio improved to 1.47% (vs. 1.49% in 4Q), with gross slippages rising to Rs70.5bn or 0.6% (vs. Rs55.2bn in 4Q) — seasonally typical for 1Q. The bank pulled back Rs14.5–15.0bn of slippages. Provision coverage ratio held at 74.2%. Credit cost came in at 41bps, driven by elevated other provisions (Rs12.7bn), largely pertaining to PLI provisions of Rs7.5bn. Bank has chosen to amortize expected FY27 PLI provisions of Rs30bn evenly across quarters, avoiding back-ended spikes. Loan loss provisions were contained at Rs33.6bn (vs. Rs31.4bn in 4Q). We model credit cost of ~50bps over FY27–29E.

Advances Growth: Broad-Based; Corporate Seasonally Soft

Net advances grew 19% YoY / 2.3% QoQ, accelerating on a YoY basis. SME led growth at 22.3% YoY / 5.5% QoQ, followed by Agri at 25.4% YoY / 5.0% QoQ, and Retail at 15.2% YoY / 2.2% QoQ. Corporate sequential softness (flat QoQ / 18.1% YoY), was partly seasonal and partly deliberate — SBI reset T-Bill-linked lending rates upward, prompting some corporates to seek alternate sources; a portion transitioned to MCLR-linked pricing. Home loans grew 12.75%, auto loans 7.4%, and personal gold loans surged 97.5% YoY. Xpress Credit grew 8.25% YoY (flat QoQ), with GNPA improving slightly to 1.15%. Gold loans (personal: Rs1.25tn; agri: Rs1.8tn) are increasingly replacing Xpress Credit. International advances grew 21.4% YoY. The bank maintained its FY27 credit growth guidance of 14–15% (2–3% above nominal GDP, assuming 12.0–12.5% system credit growth). We are building in growth of 15–16% over FY27–29E.

Deposit Growth Lagged System Average

Deposits grew 9.7% YoY / 0.5% QoQ to Rs60.1tn. CASA ratio was relatively stable at 39.24% (vs. 39.46% in 4Q), with savings deposits growing 10.3% YoY and retail TDs at 14.4% YoY. SBI is deliberately avoiding expensive wholesale deposits as rates have risen. Current account growth faces headwinds from declining government balances; however, non-government CA penetration is growing at ~14%. LCR improved to 126% (vs. 124% in 4Q).

Processing Fees Gain Traction; Costs Under Control

Fee income grew 20.8% YoY to Rs94.8bn, driven by Loan Processing Charges (+59.5% YoY) as it rationalized fees across segments, Commission on Government Business (+50.3% YoY), and CVE Income (+12.8% YoY). CMS/government business income was booked on accrual rather than cash receipt basis, adding to the growth trajectory. Forex income declined sharply (-69.6% YoY) on account of revised regulatory guidelines. Operating expenses grew 5.4% YoY, with cost-to-income improving 100bps YoY to 46.7%. Pension provisioning declined to Rs9.35bn (vs. Rs11.3bn in 4Q) and is expected to trend down further, with maximum benefit post-2035.

ECL Transition: Manageable Impact

ECL transition is underway, with system go-live on 18th Aug'26. The bank will quantify the impact in 2QFY27. Importantly, any CRAR impact will be spread over five years, limiting near-term capital pressure. Management expects a smooth transition and views this as part of a forward-looking regulatory framework.

1QFY27 Analyst Meet Takeaways

Opening remarks

- 1Q has unfolded against the global backdrop of volatile environment.
- Balancing growth with resilience. Building bank that is digitally enabled delivering sustainable growth.
- Continue to strengthen UNO ecosystem. Integrated trade finance into YONO and launched MSME Dream for digital business rule engine. Digital documentation across the nation for KCC.
- Growth has remained broad-based across retail, MSME, agri, and corporate.
- FCNR(B) deposits of US\$6bn, OFCB of US\$1bn, ECB of US\$0.3bn mobilized till date. It will not be very back-ended as in 2013 there was leverage confusion. This time, there is clarity and flow will be more spread-out. Estimate of US\$10bn is based on demand, outreach.
- Excess SLR of Rs3.06tn as of Jun'26 and now it is almost Rs4tn with FCNR inflows.
- Slippages are normally higher in 1Q and of the slippages have pulled back Rs14.5–15.0bn.
- Guides for 3% Domestic NIMs. Credit growth guidance of 14–15% (2–3% above nominal GDP) assuming 12.0–12.5% credit growth. Don't want to create confusion on quarterly guidance.
- ECL transitioning – will quantify the impact in 2Q as it transitions to system on 18th August. Annual impact on CRAR will be less as it will spread over 5 years.

On NIMs and fee income and Expenses

- Reported NIMs at 2.86% (vs. 2.81% / 2.94% / 2.92% / 2.89% in 4Q/3Q/2Q/1Q). Domestic NIMs at 3.00% (vs. 2.93% / 3.06% / 3.04% / 3.01% in 4Q/3Q/2Q/1Q).
- Domestic Yield on Advances at 8.20% in 1QFY27 (vs. 8.17% QoQ); Domestic Cost of Deposits was at 4.85% for 1QFY27 (vs. 4.95%).
- Interest on IT refund of Rs2.2bn vs. Rs11bn in 4Q.
- Fee income – long way to go; CMS to government business have been booked on accrual rather than cash receipt basis.
- Forex income is lower due to new guidelines.
- Foreign offices are reducing trade finance where they are leveraging FCNR deposits.
- Some of bulk expenses will be amortized now from next quarter onwards to avoid elevated number in 4Q.

- Pension provisioning seems to be on a declining trend and maximum benefit will come post 2035. In 1Q, it was Rs9.35bn vs. Rs11.3bn in 4Q.

On asset quality

- GNPA's at 1.47% (vs. 1.49% QoQ).
- Gross Slippages at Rs70.46bn (vs. Rs55.21bn QoQ). Provision coverage at 74.20% (vs. 74.36% / 75.54% / 75.79% / 74.49% in 4Q/3Q/2Q/1Q).
- Total provisions at Rs50.47bn vs. Citi estimate of Rs36.73bn — credit cost at 0.41% (vs. 0.37% / 0.39% / 0.43% / 0.47% in 4Q/3Q/2Q/1Q).
- Loan loss provisions at Rs33.59bn (vs. Rs31.40bn QoQ); standard asset provision of Rs4,770mn (vs. Rs-110mn QoQ), investment depreciation release of Rs0.58bn, other provisions of Rs12.69bn (vs. Rs-3.66bn QoQ).
- Other provisions of Rs12.69bn largely pertains to PLI provisions of Rs7.5bn on expected FY27 provisions of Rs30bn (it has decided to amortize it over quarter rather than being back-ended).
- SMA 1&2 stood at Rs41.74bn — 8bps of loans vs. 6bps / 8bps / 9bps / 12bps in 4Q/3Q/2Q/1Q.

On Advance growth

- Net Advances growth at 19.0% YoY / 2.3% QoQ vs. 16.87% YoY / 5.4% QoQ in 4Q.
- SME Advances grew by 22.33% YoY / 5.5% QoQ, followed by Agri Advances at 25.43% YoY / 5% QoQ, Retail at 15.15% YoY / 2.2% QoQ, while Corporate Advances grew YoY by 18.05% / flat QoQ.
- HL grew 12.75%, auto at 7.44% and gold loans at 97.54%.
- Corporate loans offered both on T-Bill linked as well as MCLR linked. It has reset pricing of T-Bills linked upwards and some have transitioned to MCLR. Some corporates found alternative sources at that pricing and hence there was some run-down in corporate portfolio. Seasonally too, it witnesses a sequential decline in 1Q, though this quarter was lower.
- Xpress Credit was 8.25% YoY / flat QoQ with GNPA's at 1.15% (vs. 1.08% QoQ). Express credit – good amount of sourcing but getting replaced with gold loans.
- Personal gold loans Rs1.25tn and agri GL at Rs1.8tn. Yield is 8.5–9.0%.

On deposit growth

- Deposits growth at 9.73% YoY / 0.5% QoQ to Rs60.06tn vs. 11.03% YoY in 4Q.
- CASA ratio at 39.24% vs. 39.46% in 4Q (grew by 9.30% YoY).
- Wholesale deposit rates have gone up and it is not willing to pay that much. Retail TD growth is 14% and SA has grown by 10%.

- CA market is facing challenges as government balances are drying up.
Penetration on non-government segment is improving and growing at 14%.
- LCR at 126% vs. 124% QoQ.

Figure 1. Results Summary

INR mn	1QFY26	2QFY26	3QFY26	4QFY26	1QFY27	YoY	QoQ
PROFIT & LOSS STATEMENT							
Interest income	1,179,959	1,196,539	1,225,561	1,230,977	1,278,965	8%	4%
Interest expense	769,234	766,699	773,658	787,177	809,040	5%	3%
Net Interest Income (NII)	410,725	429,841	451,904	443,800	469,924	14%	5.9%
Non-interest income	173,457	153,255	183,585	173,141	159,227	-8%	-8%
Fee income	93,090	95,520	99,250	121,100	99,730	7%	-18%
Profit on sale of investments	63,260	28,768	32,790	(14,710)	43,190	-32%	-394%
Non-interest income - other	17,110	28,970	51,545	66,751	16,307	-5%	-76%
Total operating income	584,182	583,096	635,489	616,941	629,151	8%	2%
Total operating expense	278,737	309,987	306,865	339,899	293,860	5%	-14%
Employee expense	168,995	166,060	160,031	162,153	174,238	3%	7%
Operating expense - other	109,742	143,927	146,834	177,747	119,622	9%	-33%
Pre-provision operating profit (PPOP)	305,445	273,109	328,624	277,042	335,292	10%	21%
Provisions	47,592	54,001	45,069	28,722	50,468	6%	76%
Provisions for NPL	49,340	41,323	32,160	31,400	33,590	-32%	7%
Profit Before Tax and Exceptional items	257,853	219,108	283,555	248,320	284,824	10%	15%
Exceptional items	0	45,932	0	0	0		
Profit Before Tax (PBT)	257,853	265,040	283,555	248,320	284,824	10%	15%
Tax	66,248	63,444	73,273	51,483	73,612	11%	43%
PROFIT AFTER TAX (PAT)	191,604	201,597	210,282	196,838	211,212	10%	7%
Core PPOP (ex-treasury & other non-int. i	242,185	244,341	295,834	291,752	292,102	21%	0%
BALANCE SHEET							
Shareholders' Funds	4,701,949	5,180,593	5,400,202	5,444,423	5,668,308	20.6%	4.1%
Total deposits	54,732,537	55,917,004	57,013,089	59,756,421	60,058,052	9.7%	0.5%
Domestic	52,548,730	53,606,320	54,678,520	57,329,600	57,613,530	9.6%	0.5%
CASA	20,685,270	21,242,660	21,397,260	22,620,110	22,609,260	9.3%	0.0%
Current account	3,217,140	3,282,300	3,144,340	3,811,010	3,346,490	4.0%	-12.2%
Savings account	17,468,130	17,960,360	18,252,920	18,809,100	19,262,770	10.3%	2.4%
Term deposits	31,863,460	32,363,660	33,281,260	34,709,490	35,004,270	9.9%	0.8%
Overseas	2,183,810	2,310,680	2,334,570	2,426,830	2,444,520	11.9%	0.7%
Net Advances	41,962,051	43,617,370	46,277,341	48,778,948	49,920,037	19.0%	2.3%
Domestic loans	36,196,700	37,430,400	39,901,760	41,896,860	42,766,490	18.2%	2.1%
Corporate	12,034,300	12,393,460	13,335,640	14,245,890	14,206,520	18.1%	-0.3%
SME	5,280,950	5,422,220	6,007,140	6,122,220	6,460,300	22.3%	5.5%
Agri	3,482,670	3,681,120	3,921,390	4,170,970	4,368,200	25.4%	4.7%
Retail	15,398,780	15,933,600	16,637,590	17,357,780	17,731,470	15.1%	2.2%
International Loans	6,348,450	6,766,350	6,933,320	7,429,410	7,705,740	21.4%	3.7%
Total investments	16,834,939	17,280,797	17,337,790	18,012,541	18,034,258	7.1%	0.1%
TOTAL ASSETS	67,685,048	69,874,687	71,619,748	76,230,120	76,622,850	13.2%	0.5%
ASSET QUALITY							
Gross NPA	780,397	762,430	736,370	734,520	742,720	-5%	1%
Net NPA	199,084	184,599	180,120	188,300	191,580	-4%	2%
GNPA ratio	1.83%	1.73%	1.57%	1.49%	1.47%		
NNPA ratio	0.5%	0.4%	0.4%	0.4%	0.4%		
Specific Provision Coverage Ratio	74.49%	75.79%	75.54%	74.36%	74.21%		
Gross slippages	83,980	49,980	48,600	55,480	73,590		
Gross slippage ratio	0.81%	0.48%	0.45%	0.48%	0.60%		
Total Prov/Avg Loans	0.46%	0.50%	0.40%	0.24%	0.41%		
KEY RATIOS							
CASA Ratio - domestic	39.4%	39.6%	39.2%	39.2%	39.2%		
Cost/Income ratio	47.7%	53.2%	48.3%	55.1%	46.7%		
Return on Assets (RoA)	1.2%	1.2%	1.2%	1.1%	1.2%		
Return on Equity (RoE)	17.7%	17.2%	17.2%	16.0%	16.3%		
NIM (Global)	2.90%	2.97%	2.99%	2.81%	2.86%		
NIM (Domestic)	3.02%	3.09%	3.12%	2.93%	3.00%		
CET1 Ratio	11.1%	11.5%	11.0%	12.3%	12.9%		
Tier 1	12.5%	12.7%	12.1%	13.3%	13.9%		
Total CAR	14.6%	14.6%	14.0%	15.4%	15.7%		

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Source: Citi Research, Company Reports

Figure 2. Advances growth accelerates; Broad based across SME, agri, retail; Corporate seasonally soft

Asset Segments	1QFY26	2QFY26	3QFY26	4QFY26	1QFY27	YoY	QoQ
<u>Loans Mix</u>							
Corporate	28.3%	28.0%	28.5%	28.9%	28.1%	-0.5%	-2.5%
SME	12.4%	12.3%	12.8%	12.4%	12.8%	3.1%	3.1%
Agri	8.2%	8.3%	8.4%	8.5%	8.7%	5.7%	2.4%
Retail	36.2%	36.1%	35.5%	35.2%	35.1%	-2.9%	-0.2%
International	14.9%	15.3%	14.8%	15.1%	15.3%	2.3%	1.4%
<u>YoY growth (%)</u>							
Corporate	5.7%	7.1%	13.4%	14.8%	18.1%		
SME	19.1%	18.8%	21.0%	21.0%	22.3%		
Agri	12.7%	14.2%	16.6%	19.7%	25.4%		
Retail	12.6%	14.1%	15.0%	15.2%	15.1%		
International	14.8%	15.0%	13.4%	20.0%	21.4%		
Total	11.9%	13.1%	15.6%	17.2%	19.0%		
<u>QoQ growth (%)</u>							
Corporate	-3.0%	3.0%	7.6%	6.8%	-0.3%		
SME	4.4%	2.7%	10.8%	1.9%	5.5%		
Agri	-0.1%	5.7%	6.5%	6.4%	4.7%		
Retail	2.2%	3.5%	4.4%	4.3%	2.2%		
International	2.5%	6.6%	2.5%	7.2%	3.7%		
Total	0.8%	3.9%	6.1%	5.4%	2.3%		

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Source: Citi Research, Company Reports

Figure 3. Summary Model

(Rsmn)	FY25	FY26	FY27E	FY28E	FY29E
Income statement					
Net interest income	1,669,652	1,736,269	1,986,105	2,274,919	2,617,641
- Interest Income	4,624,894	4,833,036	5,456,215	6,203,842	7,094,160
- Interest expense	2,955,242	3,096,767	3,470,110	3,928,923	4,476,519
Non-interest income	616,831	683,439	723,884	764,117	820,942
- Fee income	352,980	408,960	468,498	514,129	556,651
- Profit on sale of investments	153,030	110,108	74,572	60,133	64,944
- Other non interest income	110,821	164,376	180,814	189,855	199,347
Total operating income	2,286,482	2,419,708	2,709,989	3,039,036	3,438,583
Total operating expenses	1,180,690	1,235,488	1,316,980	1,423,364	1,559,204
- Employee expense	643,522	657,238	709,817	773,700	851,070
- Other operating expense	537,168	578,250	607,163	649,664	708,134
Pre-provision operating profit (PPOP)	1,105,792	1,184,220	1,393,009	1,615,671	1,879,378
Total provisions	153,072	175,384	236,158	326,617	391,434
Profit before tax (PBT)	952,720	1,054,768	1,156,852	1,289,054	1,487,944
Tax	243,706	254,448	296,154	329,998	380,914
Profit after tax (PAT)	709,014	800,320	860,698	959,056	1,107,031
Core PPOP	841,941	909,736	1,137,623	1,365,684	1,615,087
Balance sheet					
Shareholders' Funds	4,411,621	5,444,423	6,132,981	6,900,226	7,785,850
- Share capital	8,925	9,231	9,231	9,231	9,231
- Reserves and surplus	4,402,697	5,435,192	6,123,750	6,890,995	7,776,620
Deposits	53,821,895	59,756,421	66,726,225	75,002,699	85,008,486
- CASA	20,651,610	22,620,110	25,182,083	28,332,277	32,140,334
Borrowings	5,635,725	7,312,538	8,043,792	8,848,171	9,732,988
Other liabilities & Provisions	2,891,291	3,716,738	4,143,505	4,646,736	5,250,257
Total liabilities and equity	66,760,533	76,230,120	85,046,502	95,397,831	107,777,581
Loans	41,633,121	48,778,948	56,179,946	64,789,238	75,008,671
Investments and cash	20,308,024	21,858,139	23,560,580	25,623,131	27,912,800
Other assets	4,819,387	5,593,033	5,305,976	4,985,462	4,856,111
Total assets	66,760,533	76,230,120	85,046,502	95,397,831	107,777,581
Key ratios					
Core BVPS, Rs	479	575	648	730	825
Core adj. BVPS, Rs	462	559	631	710	799
EPS, Rs	79	88	93	104	120
EPS growth	16%	11%	6%	11%	15%
ROA	1.1%	1.1%	1.1%	1.1%	1.1%
ROE	17.3%	16.2%	14.9%	14.7%	15.1%
Gross NPA %	1.8%	1.5%	1.5%	1.5%	1.6%
Net NPA %	0.5%	0.4%	0.4%	0.4%	0.4%
Coverage %	74%	74%	75%	75%	74%
Slippage %	0.6%	0.6%	0.7%	0.8%	0.9%
Loan growth	12%	17%	15%	15%	16%
CASA ratio	38%	38%	38%	38%	38%
Assets / equity	15.1	14.0	13.9	13.8	13.8
Tier 1 CAR	12.1%	13.3%	13.5%	13.7%	13.7%
Total CAR	14.3%	15.4%	15.4%	15.3%	15.2%
Yield on IEA	8.1%	7.6%	7.6%	7.6%	7.6%
Cost of IBL	5.2%	4.9%	4.9%	5.0%	5.0%
Spread	3.0%	2.7%	2.7%	2.6%	2.6%
NIM on IEA	2.9%	2.7%	2.8%	2.8%	2.8%
Fee / avg. assets	0.5%	0.6%	0.6%	0.6%	0.5%
Cost / income	52%	51%	49%	47%	45%
Cost / assets	1.8%	1.7%	1.6%	1.6%	1.5%
Credit cost / avg. loans	0.4%	0.4%	0.5%	0.5%	0.6%

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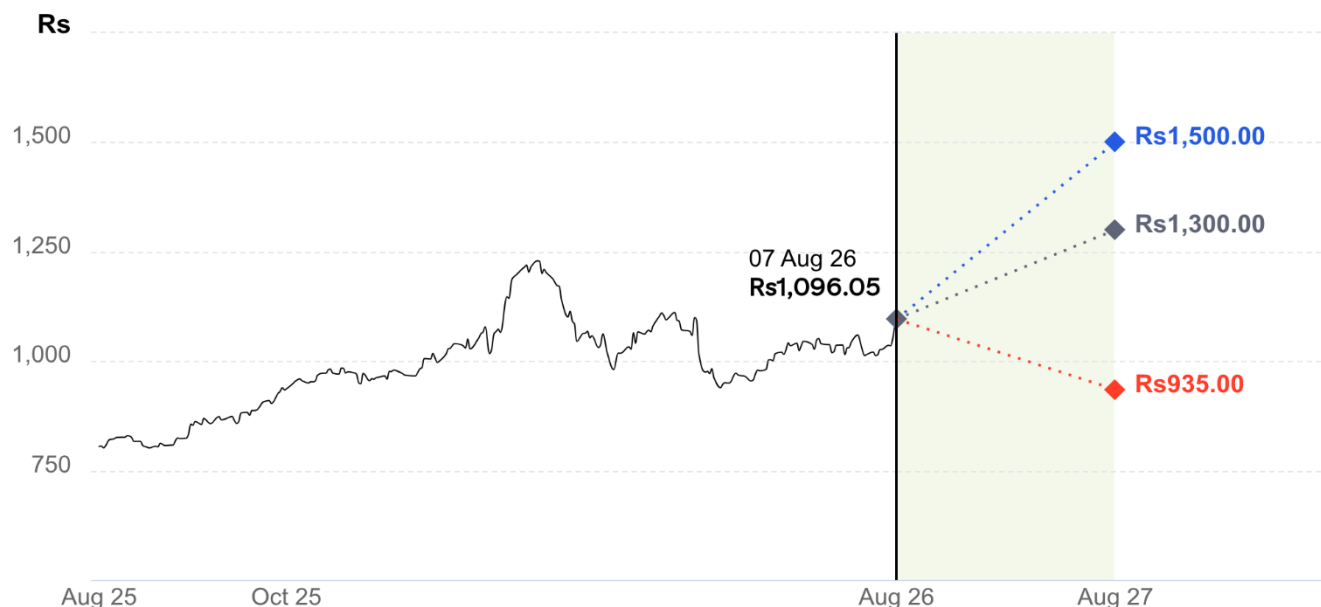
Source: Citi Research, Company Reports

Bull/Bear: State Bank of India (SBI.BO)

Rs 1,500.00
▲ 37% Upside

Rs 1,300.00
▲ 19% Upside

Rs 935.00
▼ 15% Downside



Spread 52pp
Current Price and expected returns (upside/downside) as of 07 Aug 2026

BULL Assumptions

- 5% points higher loan growth than the base case in FY27E and FY28E
- 20bps lower credit cost than base in FY27E and FY28E
- Target P/BVPS multiple of 1.7x for banking business. 20% higher value of subs considered.

BASE Assumptions

- Loan growth of 15-16% in FY27E and FY28E
- Credit cost of 50bps in FY27E and FY28E
- Target P/BVPS multiple of 1.5x for banking business

BEAR Assumptions

- 5% points lower loan growth than the base case in FY27E and FY28E
- 20bps higher credit cost than base in FY27E and FY28E
- Target P/BVPS multiple of 1.1x for banking business. 20% lower value of subs considered.

State Bank of India

Company description

SBI is India's largest bank with around 20% market share in deposits and loans, more than 22,000 branches, and more than 400m customers. The Government of India owns 55.5% of the bank. SBI is a banker to most state governments and has a dominant share of government fee business. SBI has a presence in other financial services through subsidiaries and joint ventures. It has a presence in life insurance, asset management, investment banking, and general insurance. The SBI group has more than 57,000 ATMs, the largest spread in the country, and is aggressively expanding its technology-based offering across its existing network.

Investment strategy

We rate SBI shares as Buy. We see improved advances growth visibility backed by traction in SME, corporate credit, Xpress Credit, etc. Further, multiple liability-cost optimization initiatives and yield levers should support NIM. Credit cost near ~50bps and operating efficiencies should support 1% ROA and ~14% ROE.

Valuation

We value SBI using sum-of-the-parts methodology. The banking business is valued at Rs970 using the two-stage Gordon Growth Model. Key assumptions are: cost of equity of 12.8%, normalized RoE of 14.5%, growth during stage one 14%, and steady-state growth 4%. These give us a target multiple of 1.5x Sep'27 BVPS. Subsidiaries and associates contribute Rs270 to our TP (post holdco discount), of which we value life insurance at our TP for SBI Life, which in turn is based on appraisal value methodology, SBI Cards at current market price, Asset Management and Capital Markets businesses at P/E, and General Insurance on P/B. This gives us a target price of Rs1,300.

Risks

Downside risks that could cause the stock to trade below our target price include lower-than-expected NIMs, moderation in growth, deterioration in asset quality leading to higher credit cost and eventually lower ROAs.

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Appendix A-1

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State Bank of India (SBI.BO)

Ratings and Target Price History Fundamental Research

Analyst: Kunal Shah



	Date	Rating	Target Price	Closing Price
1	05-Nov-23 20:26:10	1	*700.00	579.00
2	16-Jan-24 02:45:50	*3	*600.00	637.50
3	09-May-24 19:36:29	3	*705.00	820.70
4	04-Aug-24 20:33:46	3	*720.00	848.15
5	03-Mar-25 22:15:07	*1	*830.00	696.00

*Indicates Change

	Date	Rating	Target Price	Closing Price
6	26-Mar-25 20:11:12	1	*905.00	762.50
7	04-May-25 18:16:36	1	*920.00	798.00
8	11-May-25 20:45:54	*--	-	779.40
9	24-Sep-25 10:26:26	*1	*1,050.00	865.70
10	04-Nov-25 17:05:33	1	*1,110.00	954.30

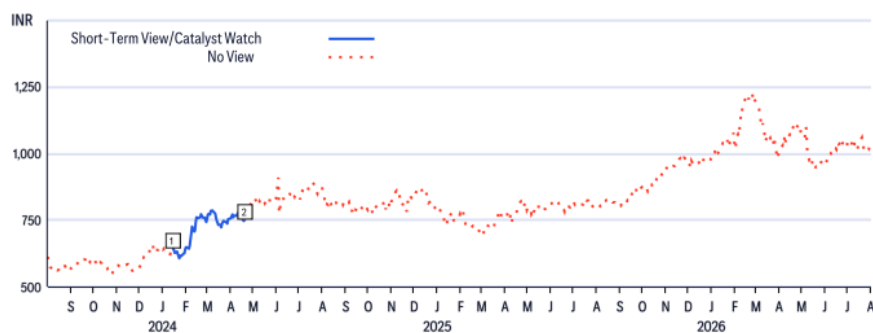
	Date	Rating	Target Price	Closing Price
11	24-Dec-25 00:53:09	1	*1,140.00	968.40
12	08-Feb-26 18:10:17	1	*1,265.00	1,065.50
13	08-May-26 12:19:02	1	*1,230.00	1,018.05

Rating/target price changes above reflect Eastern Time

State Bank of India (SBI.BO)

Short-Term View/Catalyst Watch Research

Analyst: Kunal Shah



	Date	Action	Expected Direction	Duration	Closing Price
1	15-Jan-24 21:45:50	Add CW	Downside	90 Days	640.50

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
2	20-Apr-24 06:34:44	Remove CW	Downside	90 Days	750.00

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Data current as of 01 Jul 2026	12 Month Rating			Catalyst Watch		
	Buy	Hold	Sell	Buy	Hold	Sell
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% of companies in each rating category that are investment banking clients	38%	42%	27%	42%	37%	36%

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Citigroup Global Markets India Private Limited

Kunal Shah

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